

Large capital, limited risk, long life.

Weaknesses: costs, rules and distance of owners.

Is the company the best form?

Dividend. The share of profit paid to shareholders.

skilled managers. Shares are easy to transfer. A large company can use large machines and gain from large-scale production.

There are weaknesses. Formation is costly and slow, and the law imposes many rules, reports and audits. The owners are far from the work, so directors may serve themselves. A few big shareholders may control a company against the small ones. Secrets are harder to keep, since accounts must be published.

Is the company the best form of business? The answer depends on the task. For a large factory needing much capital, it is hard to match. For a small tailor, it would be too heavy. The best form is the one that fits the size, the risk and the aim.

A WORKED CASE

SITUATION. Padma Bakery becomes Padma Bakery Private Limited. Capital is Tk 1,000,000 in 100,000 shares of Tk 10 each. Anwar holds 60,000 shares and Salma 40,000. In the first year the company decides to pay Tk 120,000 of its profit to shareholders as **dividend**.

QUESTION. What dividend does each share earn, and how much does each person receive?

REASONING. Dividend per share is Tk 120,000 divided by 100,000 shares, which is Tk 1.20. Anwar receives 60,000 times Tk 1.20, which is Tk 72,000. Salma receives 40,000 times Tk 1.20, which is Tk 48,000.

CONCLUSION. Each share earns Tk 1.20. Anwar receives Tk 72,000 and Salma Tk 48,000.

CHECK. Tk 72,000 plus Tk 48,000 equals Tk 120,000, the whole dividend. Note too that if the company later fails owing more than it owns, Anwar and Salma lose at most the value of their shares.

SUMMARY

A company is owned by shareholders through shares, is a separate legal person, and gives limited liability. A private company has 2 to 50 members and cannot invite the public; a public company has at least 7 members and may do so. Formation needs a memorandum, articles, and incorporation.

THINK IT THROUGH. A shop owner wants limited liability but wishes to keep the shop within the family. Which type of company would you advise, and why?

WHERE PEOPLE GO WRONG. Limited liability does not mean that the company cannot be sued. The company can, and the shareholder is protected from its debts. Another mistake is to mix up the memorandum, which fixes the company's objects, with the articles, which govern its daily rules.

IN HISTORY. In the case of *Salomon v A Salomon & Co Ltd* (House of Lords, 1896), a shoemaker turned his business into a company and held nearly all its shares. When the company failed, creditors asked to claim from him personally. The court held that the

company was a separate person, and Mr Salomon was not liable for its debts. The decision still guides the law of companies.

SOURCES

The Companies Act, 1994; *Salomon v A Salomon & Co Ltd* (1896).

REVIEW QUESTIONS

1. Name the main features of a joint stock company.
2. How do private and public companies differ?
3. What do the memorandum and articles of association contain?

THE PUZZLE OF THE LARGE SUM

The bakery now earns a steady profit. Anwar and Salma wish to build a factory that will cost Tk 5,000,000. They do not have it, and no bank will lend it to partners whose personal wealth is small. Meanwhile, many people in Dhaka have small savings and would gladly join a profitable business if their risk were limited. How can many small sums be gathered into one large one, safely?

THE IDEA OF A JOINT STOCK COMPANY

A company is owned by many through shares.

Joint stock company. A business whose capital is divided into shares and owned by shareholders.

Share. One equal unit of a company's capital, showing part ownership.

Shareholder. A person who owns one or more shares in a company.

GO SLOWLY HERE.

The company is a person in law.

Legal personality. The status of being treated by law as a person separate from the owners.

Limited liability caps the loss at the unpaid share.

Limited liability. A shareholder's duty to pay company debts only up to the unpaid value of his or her shares.

Shares can be sold; the company stays.

Directors. People elected by shareholders to manage the company.

A **joint stock company**, usually called a company, means a business whose capital is divided into small equal parts called shares. A **share** means one such part. A person who owns shares is a **shareholder**. The shareholders together own the company.

A company has a special feature that a partnership lacks. The law treats it as a *separate legal person*. It can own property, make contracts, sue and be sued in its own name, and it continues to exist when shareholders die or sell their shares. This is called **legal personality**. In Bangladesh the Companies Act, 1994 governs companies.

The second feature is **limited liability**. It means that a shareholder who has paid for all of his or her shares cannot be made to pay the company's debts from personal property. The most such a person can lose is the money put into the shares. This is the opposite of the partner's position in Chapter IV, and it explains why people dare to invest.

The third feature is the ease of transfer. A shareholder who wants money can sell shares to another person, and the company carries on unchanged. A fourth feature is management by representatives: the shareholders elect **directors**, who run the company for them.

PRIVATE AND PUBLIC COMPANIES

The Companies Act recognises two chief types. A **private company** has at least two and no more than fifty members, restricts the transfer of its shares, and may not invite the public to buy them. A **public**

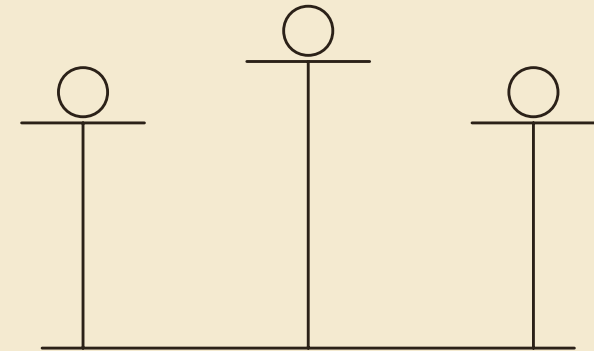


Plate VI. [An engraving will be placed here.]

CHAPTER VI

Many Hands: Cooperatives and the State

Who should own a business when profit is not the first aim?



This chapter explains two forms of ownership whose first aim is service: the cooperative society, owned by its members, and the state enterprise, owned by the public.

Limits: poor management and weak funds.

can damage trust. A cooperative is only as good as the care of its members.

THE STATE ENTERPRISE

State enterprise is owned and run by the government.

State enterprise. A business owned and controlled by the government.

A **state enterprise** means a business owned and controlled by the government on behalf of the public. It may be fully owned or partly owned by the state. Governments run enterprises for several reasons.

Four reasons for public ownership.

First, some goods are too important or too costly to leave to private owners, such as railways and defence supplies. Second, some activities have a *natural monopoly*, where one supplier serves best, as with a gas pipeline. Third, a government may wish to hold prices down for the poor. Fourth, new industries may need public money before private investors will enter. The fields best suited to state ownership therefore include defence, railways, power, water, and basic industries.

TABLE 5. FORMS OF STATE ENTERPRISE

Form	Meaning	Example
Departmental undertaking	Run as a government department	Bangladesh Railway
Public corporation	Set up by a special law, with its own board	Bangladesh Petroleum Corporation
Government company	A company under the Companies Act, with the government holding most shares	Titas Gas Transmission and Distribution Company Ltd

Each form gives different freedom.

A departmental undertaking is closest to government and has least freedom. A public corporation has a board and more freedom of action. A government company works like a private company, and the government is its main shareholder.

A fair debate: for and against.

Is it wise to support state enterprise? The arguments differ. Supporters say that it serves the public, protects strategic industries, and can hold prices down. Critics say that many state enterprises in Bangladesh and elsewhere have run at a loss. The causes commonly named are weak management, too many employees, political interference, prices fixed below cost, old machines, and little reward for efficiency. A reader should weigh both sides, and decide for which tasks, and under what controls, state ownership serves the public best.

A WORKED CASE

SITUATION. Ten Mirpur bakers form a flour-buying society. A 50-kilogram bag costs Tk 3,000 in a shop and Tk 2,850 in bulk. Padma Bakery buys 20 bags a month.

Partners owe each other honesty and fair play.

Partners differ in work, visibility and risk.

A partnership may be for a task, a period, or open-ended.

Advantages: more money, skills and shared load.

Dissolution means the firm ends.

Dissolution. The ending of a partnership, so that the firm no longer exists.

must use the firm's property for the firm only. Each partner is also an *agent* of the firm: a promise made by one in the course of business binds all.

KINDS OF PARTNER AND OF PARTNERSHIP

Not every partner plays the same role. An *active partner* manages the business. A *sleeping partner* invests money but takes no part in running it. A *nominal partner* only lends a name. A *partner by holding out* is a person who lets others believe that he or she is a partner; the law then makes that person liable like one. The Act of 1932 does not provide for partners whose liability is limited.

Partnerships also differ in how long they last. A *partnership at will* has no fixed end and may be ended by notice. A *particular partnership* is made for one task, such as building a single block. A *partnership for a fixed term* ends when the term does.

GAINS, RISKS AND COMPARISON

A partnership brings more capital than one person can raise. It combines different skills, as Salma's recipes and Anwar's money. It spreads the work and the risk among several people, and its formation needs few formalities. The disadvantages are the unlimited liability, the risk of quarrels, the fact that one partner's mistake binds all, and the difficulty of raising very large sums.

TABLE 3. PARTNERSHIP AND SOLE PROPRIETORSHIP COMPARED

Point	Sole proprietorship	Partnership
Owners	One	Two or more
Capital	One person's means	Pooled by partners
Decisions	By the owner alone	Shared, may cause delay
Liability	Unlimited, one person	Unlimited, each partner for all
Legal basis	No special Act	Partnership Act, 1932
Continuity	Ends with the owner	May end on a partner's death

HOW A PARTNERSHIP ENDS

Dissolution means the ending of a partnership. It may happen in several ways. By *agreement*, when all partners consent. By *notice*, when a partnership at will is ended by one partner telling the others. *Compulsorily*, when all but one partner become insolvent, or when the business becomes unlawful. By *contingency*, such as the end of a fixed term, the completion of a task, or the death of a partner, unless the deed provides otherwise. By *order of a court*, if a partner has become of unsound mind, is permanently unable to act, is guilty of misconduct, or if the business can only run at a loss.

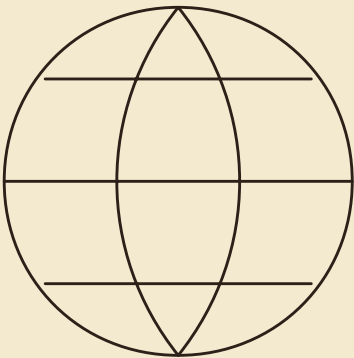


Plate VII. [An engraving will be placed here.]

CHAPTER VII

Across the Border

Why does a country that grows rice buy wheat from abroad?

This chapter explains why nations trade, how trade is measured, how goods are exported and imported, and what barriers stand in the way. It ends with the firm that works in many countries.

THE BUSINESS OF ONE

One owner holds all the control.

Sole proprietorship. A business owned, run and financed by one person.

Strengths: speed, control and a full share of profit.

Weaknesses: small capital, unlimited risk, no continuity.

Unlimited liability. Duty to pay all the business's debts, even from personal property.

Best suited to small, personal work.

Two people, each lacking something, decide to join forces.

Salma's shop began as a business that belongs to one person. Many shops, workshops and farms are of this kind. A **sole proprietorship** means a business owned and controlled by one person, who takes all the profit and bears all the loss. The law does not treat the business and its owner as separate.

This form has real strengths. It is quick to start, since few formalities are needed. The owner decides alone, so decisions are fast. All the profit belongs to the owner, which is a strong reason to work hard. The owner knows each customer, and personal care often wins loyalty. Business affairs can also be kept private.

The weaknesses are equally real. Capital is limited to what the owner can save or borrow. The owner has **unlimited liability**, which means that if the business cannot pay its debts, the owner's house and savings may be used. One person has limited skills and cannot be everywhere. And the business is bound to the life and health of its owner.

The form suits small work that depends on personal skill: a tailor, a barber, a small shop, a repairer, a village farm. These activities need little capital and gain from personal attention. It is for this reason that sole proprietors survive beside large firms. Customers who want a custom garment or a neighbour's shop, and not a standard product, remain with the small owner.

THE IDEA OF PARTNERSHIP

Salma's shop is growing. She needs a larger oven and more money than she has. Anwar Hossain, who has savings and an oven, wishes to join. Neither can do it alone. Before a single sack of flour is ordered, a question stands between them: who owns what, and who answers for what?

Two measures: of goods only, and of everything.

Balance of trade. The difference between the value of a country's goods exported and goods imported.

Balance of payments. The record of all money flowing into and out of a country in a period.

Export follows a chain of steps.

Letter of credit. A bank's promise to pay the seller if the agreed documents are shown.

Import follows the reverse chain.

The documents carry the proof.

Bill of lading. A receipt for goods shipped, which also acts as proof of ownership.

Bill of lading and charter party differ.

Charter party. A contract hiring a whole ship, or part of it, for a voyage.

Barriers: narrow range, slow ports, costly funds.

as money sent home by workers abroad, and capital flows such as loans and investment.

The balance of trade can show a deficit while the wider balance of payments is in surplus, because money sent home by citizens working abroad can fill the gap.

EXPORTING AND IMPORTING

The *export procedure* runs in steps. The exporter first registers as an exporter with the government's import and export office. An enquiry arrives from a buyer, and the exporter sends a quotation, often as a *proforma invoice*. The buyer places an order and opens a **letter of credit** through a bank. This promise reassures the seller. The exporter then makes or collects the goods, arranges inspection, packs them, and books a ship or plane through a clearing agent. Customs inspect the goods and permit export. The carrier issues a transport document. The exporter hands the documents to the bank, which collects payment.

The *import procedure* is the reverse. The importer registers, asks the seller for a proforma invoice, and opens a letter of credit. When the goods arrive, the importer files a *bill of entry* with customs, pays duty, and takes delivery with the shipping documents.

The documents used include the *commercial invoice* (the bill), the *packing list*, the *certificate of origin* (where the goods were made), the *inspection certificate*, the *bill of exchange* (an order to pay) and the transport document. For sea freight the transport document is the **bill of lading**.

Do not confuse it with a **charter party**. The bill of lading is a receipt for goods and a title to them, issued by the shipping company to each shipper. The charter party is the contract by which a merchant hires the whole ship or a space on it. One ship may carry goods under many bills of lading, but be hired under one charter party.

BARRIERS AND SUPPORT

Bangladeshi exporters meet barriers. Exports depend heavily on a narrow range of goods, chiefly ready-made garments. Port and road delays and a shortage of power raise costs. Loans may be costly, and customs work may be slow. Foreign buyers set strict standards of quality and safety. Other countries may raise import taxes, and competitors abroad are strong.

Governments both support and regulate trade. A **tariff** raises the price of imports. A **quota** caps the amount. A government may give exporters cash support, cheap loans or tax relief, and runs bodies to help them: the Export Promotion Bureau, and the export processing zones (Chapter VIII). At the world level, the World Trade Organiza-

SUMMARY

The environment of a business has an internal part that the owner controls and an external part that the owner cannot control. Social responsibility asks a firm to do more than the law requires. Each stakeholder has a claim on the business.

THINK IT THROUGH. A factory pours waste water into a river. It breaks no law, because the rule is not yet written. Is it acting responsibly? Which stakeholders are harmed?

WHERE PEOPLE GO WRONG. Many students think social responsibility is only gifts to charity. It is wider; it includes how workers, suppliers and customers are treated every day. Another mistake is to think that the owner alone is a stakeholder.

IN HISTORY. On 24 April 2013 the Rana Plaza building in Savar, near Dhaka, collapsed, and more than 1,100 garment workers died. Cracks had been seen the day before. The disaster led to the Accord on Fire and Building Safety in Bangladesh, signed in May 2013. It showed that a firm's duty to workers is real even when the risk is hidden.

SOURCES

Carroll (1991); Friedman (1970).

REVIEW QUESTIONS

1. Name the six outside forces in the business environment.
2. What is a stakeholder? Give two examples.
3. State one reason why a firm may find profit and duty to agree.

REASONING. Balance of trade is 40 less 52, which is a deficit of 12. Services net is 6 less 9, which is minus 3. Add the transfers of plus 22. The current account is minus 12, minus 3, plus 22.

CONCLUSION. The trade balance is a deficit of 12 billion. The current account is a surplus of 7 billion.

CHECK. Receipts are 40 plus 6 plus 22, which is 68. Payments are 52 plus 9, which is 61. The difference, 68 less 61, is 7, the same answer.

SUMMARY

Nations trade because they differ and because specialising lowers cost. The balance of trade counts goods only; the balance of payments counts all payments. Export and import follow set steps and documents. MNCs bring gains and risks to host countries.

THINK IT THROUGH. A country sells only one product abroad. What risks does it run? How might it reduce them?

WHERE PEOPLE GO WRONG. Students often use balance of trade and balance of payments as if they meant the same. They do not. A trade deficit is also not always bad; imports of machines can build future output.

IN HISTORY. The English East India Company received a royal charter on 31 December 1600 to trade with Asia. After the battle of Plassey in 1757 and the grant of the *diwani* in 1765, it began to collect revenue in Bengal. It was an early multinational, and it shows how trade, power and local welfare may become tangled.

SOURCES

Ricardo (1817), chapter on foreign trade.

REVIEW QUESTIONS

1. What is the difference between the balance of trade and the balance of payments?
2. Name four documents used in export.
3. Explain PCN, HCN and TCN.

THE PUZZLE OF THE FLOUR PRICE

One morning the price of flour rises by a fifth. Salma did nothing to cause it. A harvest failed in another country, a ship was late, and a price changed in a market she has never seen. Yet her profit falls. A business is therefore not a closed box. It lives among forces that it cannot control, and it also affects the people around it.

THE BUSINESS ENVIRONMENT

The **business environment** means all the forces that affect how a business works. It has two parts. The *internal environment* is what the owner can control: the owner's aims, the staff, the machines, and the way work is organised. The *external environment* is what the owner cannot control.

The environment is everything around the business.

Business environment. All the forces, inside and outside a business, that affect how it works.

Six outside forces shape most businesses.

Six outside forces matter most. *Economic* forces include prices, incomes and interest rates. *Political and legal* forces include laws, taxes and licences; a bakery needs a food-safety licence. *Social and cultural* forces include tastes and customs; demand for sweets rises before festivals. *Technological* forces include new machines and on-line selling. *Natural* forces include weather, floods and heat. *Competitors, suppliers and customers* form a group often called the market environment.

The relation runs both ways. The environment acts on the business: a new tax raises costs. The business acts on the environment: a large factory changes local jobs, traffic and air. An owner who watches the external environment can prepare, as a farmer who watches the sky prepares for rain.

Business and environment act on each other.

RESPONSIBILITY TO SOCIETY

Social responsibility means the duty of a business to act in ways that help society, and not only itself. It is often shortened to CSR, for *corporate social responsibility*. The law sets a minimum. Responsibility begins where the minimum ends.

Responsibility means duties beyond the law.

Social responsibility. The duty of a business to act in ways that benefit society, beyond what the law demands.

Four layers, from profit to giving.

Archie Carroll (1991) pictured four layers of duty. A business must be *profitable* to survive. It must *obey the law*. It should be *ethical*, doing what is fair even where no law demands it. It may be a *good citizen*, giving back to the community. Each layer rests on the one below.

This leads to a useful word. A **stakeholder** means any person or group who is affected by a business. Owners are stakeholders. So are

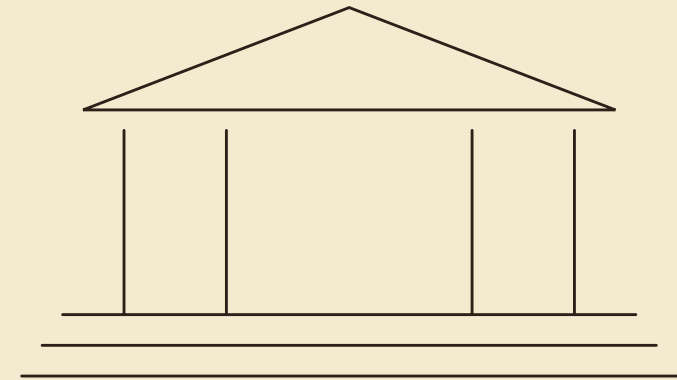


Plate VIII. [An engraving will be placed here.]

CHAPTER VIII

Shares, Markets and Helping Institutions

How does a small baker find strangers willing to share her risk?



This chapter explains the share market, the Dhaka Stock Exchange and the IPO, and then names the bodies that regulate, promote and support business in Bangladesh.

A WORKED CASE

SITUATION. Salma compares two sites. A shop near the Mirpur market rents for Tk 15,000 a month, and delivery to customers costs Tk 2,000. A plot in an industrial area rents for Tk 6,000, but delivery over the longer distance costs Tk 14,000. Both sites are otherwise the same.

QUESTION. Which site has the lower total monthly cost?

REASONING. Market site: Tk 15,000 plus Tk 2,000 equals Tk 17,000. Industrial site: Tk 6,000 plus Tk 14,000 equals Tk 20,000.

CONCLUSION. The market site costs Tk 3,000 a month less, so Salma takes it.

CHECK. The industrial site saves Tk 9,000 in rent but adds Tk 12,000 in delivery. The net difference is Tk 12,000 less Tk 9,000, which is Tk 3,000, the same answer. The case file now records the shop, the oven at Tk 120,000, and two helpers paid Tk 10,000 a month each.

SUMMARY

A business uses four factors of production: land earns rent, labour earns wages, capital earns interest, and organisation earns profit. The site should be chosen by weighing nearness to customers, materials, labour, transport, power, rules and cost.

THINK IT THROUGH. A brick factory is choosing between a site beside a clay field and a site beside a city. Which factors should weigh most? Would your answer change for a shop selling bricks?

WHERE PEOPLE GO WRONG. Students often use *capital* to mean cash only. Here it means goods used to make goods. Another mistake is to pick the cheapest rent without adding the other costs, as the worked case shows.

IN HISTORY. In 1776 Adam Smith counted the benefits of dividing labour in a pin workshop. His idea explains why factories gather skilled workers in one place, and why cities grew around them.

REVIEW QUESTIONS

1. Name the four factors of production and the reward of each.
2. Why should an owner compare total costs and not only rent?
3. List three factors that guide the choice of a location.

HELPING INSTITUTIONS

A regulator protects investors.

Bangladesh Securities and Exchange Commission.

The state regulator of the share market, set up in 1993.

Trade bodies speak for business.

FBCCI. The Federation of Bangladesh Chambers of Commerce and Industry, the main body of business chambers.

Exports are helped by three bodies.

Export processing zone. An area where firms making goods for export enjoy special tax and service benefits.

Other bodies support the whole system.

The **Bangladesh Securities and Exchange Commission (BSEC)** was set up under the Securities and Exchange Commission Act of 1993. It regulates the share market. It approves public offers, licenses brokers and exchanges, watches for unfair practice, and protects investors.

The **FBCCI** is the national federation of chambers of commerce and industry. It speaks for business to the government, offers advice and organises trade fairs.

The Export Promotion Bureau (EPB) is a government body that helps exporters with information, fairs and approvals. An **export processing zone (EPZ)** is an area where firms producing for export enjoy special benefits such as duty-free import of machines and materials, tax relief, and one office for services. The Bangladesh Export Processing Zones Authority, created by a law of 1980, runs them; the first zone, at Chattogram, began work in 1983. The Trading Corporation of Bangladesh (TCB, sometimes TCCB) is a state body that buys and sells essential goods, such as edible oil and pulses, to hold prices fair.

Other bodies help too. The central bank, Bangladesh Bank, regulates money and banks. The Bangladesh Investment Development Authority helps investors, both local and foreign, to start and register business.

A WORKED CASE

SITUATION. Padma Bakery Public Limited offers 500,000 shares at Tk 10 each. Investors apply for 1,000,000 shares in all.

QUESTION. How much money is raised? How many times is the offer subscribed? What share of what each applicant asked for can be given, if shares are divided in proportion?

REASONING. Money raised is 500,000 times Tk 10, which is Tk 5,000,000. Subscription is 1,000,000 divided by 500,000, which is 2 times. The share given is 500,000 divided by 1,000,000, which is one half.

CONCLUSION. The company raises Tk 5,000,000. The offer is subscribed twice, and each applicant would receive about half of the shares asked for. In practice, the regulator's rules fix how the shares are divided.

CHECK. Half of 1,000,000 is 500,000, which equals the shares offered.

THE PUZZLE OF THE EMPTY SHOP

Salma has rented nothing yet. She has a recipe and a wish. To open a shop she must find a room, bakers, an oven, money for flour, and someone to organise it all. Which of these is the most important? The question is harder than it looks, because without any one of them the shop cannot open.

THE FOUR RESOURCES

The things a business uses to produce goods or services are called **factors of production**. There are four: land, labour, capital and organisation. Each one earns its owner a different reward.

Economists group business inputs into four.

Factors of production. The resources used to make goods and services: land, labour, capital and organisation.

Land means all gifts of nature.

Land. All natural resources, including soil, water, minerals and the space a building stands on.

Rent. The payment made to the owner of land for its use.

Land means more than soil. It includes water, minerals, forests and the ground under a shop. The reward for the use of land is **rent**. Salma pays rent for her shop room.

Labour is human work, of mind or body.

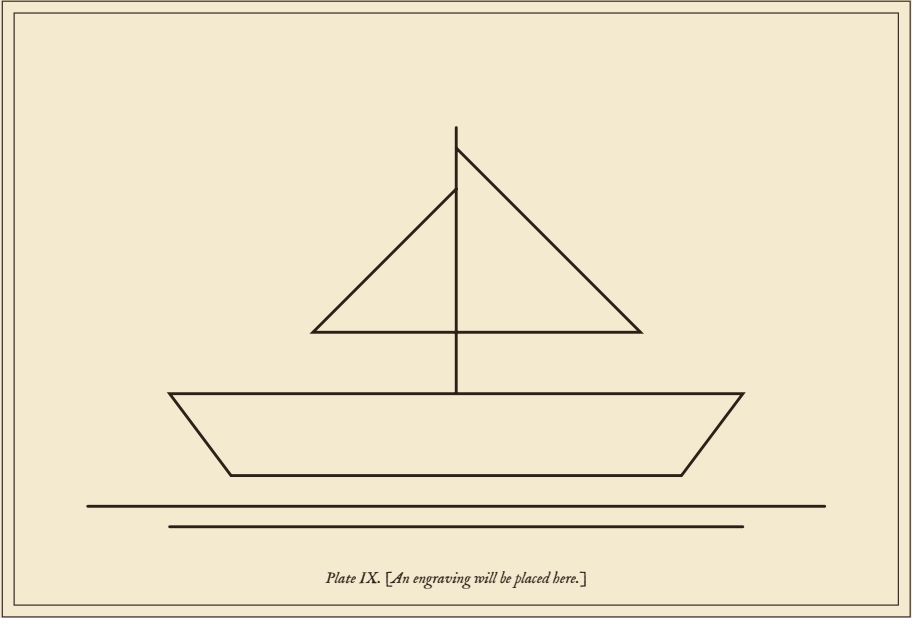
Labour. The physical and mental work of people in production.

Wages. The payment made to workers for their labour.

Division of labour. Splitting a job into parts, with each worker doing one part.

Labour means the work of people, whether of hands or of mind. A baker kneading dough and an accountant keeping records both give labour. The reward for labour is **wages**. Labour is more productive when tasks are divided. Adam Smith's pin workshop (Chapter I) showed this. **Division of labour** means splitting a job into parts so that each worker repeats one part and becomes quick at it.

Capital needs care, because the word has two meanings. In daily life it often means money. In this chapter it means the oven, the



CHAPTER IX

Joining Together

Why would two rivals choose to become one?



This chapter explains why businesses combine, what forms combination takes, and what it offers and threatens.

OPPORTUNITY AND THREAT

Combination offers real gains. Large firms enjoy lower cost per unit, can pay for research, deal better with suppliers, and can sell in new places. A weak firm may be saved by joining a strong one.

Combination also carries threats. If competition ends, a combined firm may raise prices and give poorer service. Jobs may be cut when duplicate work ends. Small suppliers may lose bargaining power. Very large firms may influence government. For these reasons, many countries have competition laws. Bangladesh passed the Competition Act of 2012 to watch for unfair agreements and abuse of strong positions.

A WORKED CASE

SITUATION. Padma Bakery's monthly costs are Tk 140,000 and Mirpur Sweets' are Tk 120,000. After a merger, shared rent, bulk flour and one office reduce the combined monthly costs to Tk 235,000.

QUESTION. What is the saving, as an amount and as a percentage of the old combined cost?

REASONING. Old combined cost is Tk 140,000 plus Tk 120,000, which is Tk 260,000. Saving is Tk 260,000 less Tk 235,000, which is Tk 25,000. As a percentage, 25,000 divided by 260,000 is about 0.096, or 9.6 per cent.

CONCLUSION. The merger saves Tk 25,000 a month, nearly 10 per cent of old costs.

CHECK. Ten per cent of Tk 260,000 is Tk 26,000, a little more than Tk 25,000, so the answer of 9.6 per cent is sensible.


SUMMARY

Firms combine to cut costs, reduce competition, secure supplies and grow. Combinations may be horizontal, vertical or conglomerate, and take the form of cartels, trusts, holding companies or mergers. They bring gains and threats, so laws watch them.

THINK IT THROUGH. Two of the three bus companies in a town propose to merge. Name one gain and one threat for passengers.

WHERE PEOPLE GO WRONG. Students often think that every combination ends competition. A merger of two small firms may create a better rival to a large one. Another mistake is to call every large firm a trust; a trust is a particular form.

IN HISTORY. In 1882 John D. Rockefeller's oil firms were joined in the Standard Oil Trust in the United States. It came to control most of the country's oil refining. In 1911 the US Supreme Court ordered the company to be broken into separate companies. The case shaped modern competition law.

REVIEW QUESTIONS

1. Why do business firms combine?
2. Name the four common forms of combination.

Gains: lower cost, stronger firms, wider reach.

GO SLOWLY HERE.

Threats: high prices, lost jobs, less choice.

builds. Service industries, such as banking and teaching, sell work rather than goods.

WHAT A BUSINESS AIMS AT

An objective is a goal the business works toward.

Objective. A goal that a business tries to reach.

Profit keeps the business alive.

Planning, honesty and care for customers.

An **objective** means a goal that a business tries to reach. Most firms have several, and they fall into four groups. *Economic objectives* include earning profit, surviving through bad years, and growing larger. *Social objectives* include fair prices, good goods, and jobs for the community. *Human objectives* include fair pay and safe work for employees. *National objectives* include paying tax and helping the country to produce more.

Profit comes first because it pays the other bills. A business that loses money for long enough must close, and then it can serve no one. Yet profit is the means by which a business stays alive, and not the only purpose. Chapter III returns to how economic and social aims fit together.

What helps a business to last? Experience points to a few prerequisites. There must be a clear idea that customers want, enough money to begin, and a good location (Chapter II). There must be skill in managing people, honest dealing, and the willingness to change when customers change. A successful owner is usually *alert* to chances, *careful* with money, *honest* with customers, *patient* in hard months and *ready to learn*.

A WORKED CASE

SITUATION. Salma sells 20 cakes a week at Tk 400 each. Flour, sugar, eggs and butter cost Tk 250 per cake. This is the first entry in the case file of Padma Bakery, an illustrative business.

QUESTION. How much profit does Salma earn in one week?

REASONING. Sales equal 20 cakes times Tk 400, which is Tk 8,000. Costs equal 20 cakes times Tk 250, which is Tk 5,000. Profit is sales minus costs, so Tk 8,000 less Tk 5,000.

CONCLUSION. Salma earns Tk 3,000 a week.

CHECK. Each cake earns Tk 400 less Tk 250, which is Tk 150. Twenty cakes at Tk 150 each give Tk 3,000, the same answer.

SUMMARY

A business sells goods or services regularly, for profit, and carries risk. Industry makes or extracts goods, trade sells them, and commerce is trade plus its helpers. Objectives are economic, social, human and national.

THINK IT THROUGH. A tailor sews uniforms for one school, once a year, and charges only the cost of cloth. Is this a business? Which feature is missing?

WHERE PEOPLE GO WRONG. Students often say that *commerce* and *trade* are the same. They are not: commerce is wider, because it

ANSWERS TO REVIEW QUESTIONS

I. (1) Exchange, regularity, profit aim, risk, and creation of utility. (2) Trade is buying and selling; commerce adds the aids such as banking and transport. (3) Economic, social, human and national.

II. (1) Land: rent; labour: wages; capital: interest; organisation: profit. (2) Other costs, such as delivery, may change the total. (3) For example, customers, raw materials, labour, transport or power.

III. (1) Economic, political and legal, social and cultural, technological, natural, and the market. (2) A person or group affected by a business, such as workers and customers. (3) Safe work reduces accidents and costs, and honesty keeps customers.

IV. (1) A business of two or more persons who agree to share profit; its base is agreement. (2) Active, sleeping and nominal (or by holding out). (3) Number of owners, and pooled capital against one person's means.

V. (1) Shares, separate legal personality, limited liability, transferable shares and elected directors. (2) In members, transfer of shares, and the right to invite the public. (3) The memorandum states name, office, objects, liability and capital; the articles give internal rules.

VI. (1) Open voluntary membership, one member one vote, fair capital, independence, education, cooperation, community concern. (2) Departmental undertaking, public corporation and government company. (3) For example, strategic industries and natural monopolies.

VII. (1) Trade counts goods only; payments count goods, services, transfers and capital. (2) For example, commercial invoice, packing list, bill of lading and certificate of origin. (3) Employees from the home, host and a third country.

VIII. (1) The first public sale of a company's shares; the BSEC approves it. (2) For example, providing a trading place, listing companies and publishing prices. (3) Ordinary shares vote and earn variable dividend; preference shares earn fixed dividend first.

IX. (1) To cut costs, reduce competition, secure supplies, grow and spread risk. (2) Cartel (pool), trust, holding company and merger or amalgamation. (3) Lower cost per unit; higher prices if competition ends.

THE FIRST QUESTION

A neighbour asks to buy a cake.

A business sells goods or services to earn profit.

Business. An activity that provides goods or services to customers to earn a profit.

Goods. Things you can touch and keep, such as a cake or a chair.

Services. Useful work done for others, such as teaching or transport.

Customer. A person or firm that pays for goods or services.

Profit is what remains after costs are paid.

Profit. The money left from sales after all costs are paid.

Sales. The total money received from customers.

The test: regular selling, for profit.

GO SLOWLY HERE.

Five features mark every business.

Risk. The chance of loss, because the future cannot be known.

Utility. The usefulness that makes something worth buying.
Profit is the reward for taking risk.

Salma Akter bakes cakes at home in Mirpur, Dhaka. One day a neighbour tastes one and asks to buy another. Salma agrees, and the next week three more neighbours ask. Is Salma now in business? Before a single taka is spent on a shop, this question needs an answer, because the way we name an activity decides what we expect of it.¹

The word **business** means an activity that provides goods or services to customers in order to earn a profit. **Goods** are things you can touch, such as a cake. **Services** are useful work done for others, such as transport. A **customer** is a person who pays for them.

Profit means the money left after all costs are paid. Business people use several words for the money that customers pay: *revenue, sales and turnover*. This book uses one word, **sales**, for the total money received from customers.

Now we can answer the opening question. One sale to a neighbour is a favour. Regular selling to many customers, with the aim of earning profit, is business. By that test, Salma crossed the line in her second week.

WHAT MAKES A BUSINESS A BUSINESS

Five features appear in almost every business. First, it involves *exchange*: goods or services pass to a customer, and money passes back. Second, it is *regular*; dealings repeat. Third, it aims at profit. Fourth, it carries **risk**, which means that the future is not known and a loss may happen. Fifth, it creates **utility**, which means usefulness. Flour has some use; a baked cake is more useful to a hungry customer. The baker has added usefulness, and the customer pays for it.

Risk and profit belong together. Salma buys flour before she knows how many cakes she will sell. If customers do not come, the flour is wasted. The profit she earns is, in part, her reward for accepting this chance of loss.

¹ Taka is the money of Bangladesh. Its short sign in this book is Tk.

Partnership deed. The written agreement setting out each partner's rights and duties. Ch. IV, p. 21

PCN. A parent country national: an employee from the firm's home country. Ch. VII, p. 38

Preference share. A share that receives its fixed dividend before ordinary shares. Ch. VIII, p. 42

Private company. A company that limits the number of members and cannot invite the public to buy its shares. Ch. V, p. 26

Profit. The money left from sales after all costs are paid. Ch. I, p. 6

Prospectus. A document inviting the public to buy a company's shares, with full details. Ch. V, p. 27

Public company. A company that may invite the public to buy its shares and has no upper limit on members. Ch. V, p. 26

Quota. A limit on the quantity of a good that may be imported. Ch. VII, p. 37

Rent. The payment made to the owner of land for its use. Ch. II, p. 12

Retail. Selling goods in small amounts to the final user. Ch. I, p. 7

Risk. The chance of loss, because the future cannot be known. Ch. I, p. 6

Sales. The total money received from customers. Ch. I, p. 6

Services. Useful work done for others, such as teaching or transport. Ch. I, p. 6

Share. One equal unit of a company's capital, showing part ownership. Ch. V, p. 26

Share market. The market where shares of companies are issued, bought and sold. Ch. VIII, p. 42

Shareholder. A person who owns one or more shares in a company. Ch. V, p. 26

Social responsibility. The duty of a business to act in ways that benefit society, beyond what the law demands. Ch. III, p. 16

Sole proprietorship. A business owned, run and financed by one person. Ch. IV, p. 20

Stakeholder. Any person or group affected by what a business does. Ch. III, p. 16

State enterprise. A business owned and controlled by the government. Ch. VI, p. 33

Stock exchange. An organised market where listed shares are bought and sold under set rules. Ch. VIII, p. 42

Supplier. A person or firm that sells materials or goods to a business. Ch. III, p. 17

Tariff. A tax on imported goods. Ch. VII, p. 37

TCN. A third country national: an employee from a country that is neither home nor host. Ch. VII, p. 38

Trade. The buying and selling of goods. Ch. I, p. 7

Trust. A combination in which firms hand control to a board that runs them as one. Ch. IX, p. 46

Unlimited liability. Duty to pay all the business's debts, even from personal property. Ch. IV, p. 20

Utility. The usefulness that makes something worth buying. Ch. I, p. 6

Wages. The payment made to workers for their labour. Ch. II, p. 12

Wholesale. Selling goods in large amounts to other businesses. Ch. I, p. 7

TO THE READER

This book assumes that you know nothing about business. Every new word is explained when it first appears, and the explanation is in simple English.

How a page works. The wide column holds the main text. The narrow column on the left holds notes. A note in *italic* sums up the paragraph beside it. A note that starts with a word in bold gives the meaning of that word. A bold word in the main text means that the word appears for the first time; it is explained in the note and again in the glossary at the back. Small numbers in the text point to footnotes at the foot of the page. Bold type is never used for ordinary emphasis.

A note marked **GO SLOWLY HERE** shows an idea that many readers find hard. Read it twice, and say its main point aloud in your own words.

How a chapter works. Each chapter opens with a question. It then teaches ideas one layer at a time: the idea, an example, the rule, and the cases where the rule fails. It follows the story of Padma Bakery, a small illustrative business, and ends with a summary, a problem to think through, common mistakes, a true case from history, and review questions. Short answers are at the back.

A word on numbers. Where a chapter uses figures, every step is shown. Begin with the small example, then read the second.

CONTENTS

CHAPTER I	The Nature of Business	
CHAPTER II	Resources and Location	
CHAPTER III	The Business and Its World	
CHAPTER IV	The Owner and the Partner	
CHAPTER V	The Company	
CHAPTER VI	Many Hands: Cooperatives and the State	
CHAPTER VII	Across the Border	
CHAPTER VIII	Shares, Markets and Helping Institutions.....	
CHAPTER IX	Joining Together.....	
Answers to Review Questions.....		
Glossary		
Further Reading.....		
Index.....		

INDEX

53

INDEX

Aids to trade	7	Foreign trade	36	Private company	26
Articles of association	27	Goods	6	Profit	6
Balance of payments	36	HCN	38	Prospectus	27
Balance of trade	36	Holding company	46	Public company	26
Bangladesh Securities and Exchange Commission	43	Home country	38	Quota	37
Bill of lading	37	Host countries	38	Rent	12
Business	6	Imports	36	Retail	7
Business combination	46	Industry	7	Risk	6
Business environment	16	Initial public offering	42	Sales	6
Capital	12	Interest	13	Services	6
Cartel	46	Joint stock company	26	Share	26
Charter party	37	Labour	12	Share market	42
Commerce	7	Land	12	Shareholder	26
Comparative advantage	36	Legal personality	26	Social responsibility	16
Cooperative society	32	Letter of credit	37	Sole proprietorship	20
Customer	6	Limited liability	26	Stakeholder	16
Directors	26	Location	13	State enterprise	33
Dissolution	22	Memorandum of association	27	Stock exchange	42
Dividend	28	Merger	46	Supplier	17
Division of labour	12	Multinational corporation	38	Tariff	37
E-commerce	7	Objective	8	TCN	38
Entrepreneur	13	Ordinary share	42	Trade	7
Export processing zone	43	Partners	21	Trust	46
Exports	36	Partnership	21	Unlimited liability	20
Factors of production	12	Partnership deed	21	Utility	6
FBCCI	43	PCN	38	Wages	12
Firm	21	Preference share	42	Wholesale	7

INTRODUCTION TO BUSINESS

*Trade, Enterprise and Organisation,
with Cases from Bangladesh*



BIJOY ?!